

7.3 Defining Key Performance Indicators (KPIs) for Growth

Tracking progress is essential when working on a business model, as it allows you to measure and evaluate your strategies and identify areas for improvement. When creating Key Performance Indicators (KPIs), it's essential to consider the following.

Not all data points qualify as KPIs. Instead, prioritise critical startup metrics that provide valuable insights to evaluate your business effectively. These metrics should provide actionable information that helps businesses check their performance, progress, and success.

You can begin by focusing on the following Key Performance Indicators (KPIs).

1. Total Addressable Market (TAM)

Total Addressable Market (TAM) represents the total revenue opportunity available within a company's target market. It defines the maximum demand for a product or service, assuming the business captures 100% of its ideal customer base without competition or market limitations.

TAM is a crucial metric for assessing the scalability and long-term potential of a business. It helps companies understand the size of their opportunity, prioritize resources, and develop strategies for market penetration. Investors also rely on TAM estimates to evaluate a company's growth prospects and potential return on investment.

Total Addressable Market of \$ 4 Trillion

